

TSLY Jan/Feb 2024 Distribution — Un-refunded Return of Capital (ROC)

Issuer Evidence and U.S. Legal Basis — Summary

Supplementary material attached to KSD Information Disclosure Decision Notice (Receipt No. 16848276, disclosure decision 2026.06.15)

1. Case Overview

The Jan/Feb 2024 distributions of the YieldMax TSLA Option Income ETF (TSLY) are, per the issuer's IRS filing (Form 8937) and ICI data, **100% Return of Capital**. However, for holdings under the old CUSIP 88634T709 (ISIN US88634T7090) as it stood when those distributions were paid, Korean securities companies (Samsung Securities and others) omitted the income reclassification (refund) and withheld 15% in full as a dividend, without refund.

In the foreign-tax-paid receipts of three holders of the same security (■■■■■■■■■■), the same CUSIP, same payment date, and 0-KRW refund all match — confirming this is not an individual error but a systematic non-reclassification during the CUSIP changeover period.

2. Decisive Evidence — Identical 100% ROC, Only the Old Code Un-refunded

Despite the same security and the same 100% ROC, because the distribution-payment timing straddled the CUSIP-change boundary, the old code (Jan/Feb) received a 0 refund while the new code (Mar onward) was fully refunded. The CUSIP change is the sole discriminator of whether a refund occurred — which itself proves this is not a difference in income character (ROC), but a code-boundary omission in the settlement system.

Payment date	CUSIP (ISIN)	Gen .	ROC	ROC / share	Broker refund (KRW)
2024-01-10	88634T709 (US88634T7090)	Old	100.0 %	0.5565	0 · un-refunded
2024-02-13	88634T709 (US88634T7090)	Old	100.0 %	0.4046	0 · un-refunded
2024-03-08	88636J444 (US88636J4444)	New	100.0 %	0.8109	■■■■■■■■■■ · fully refunded
2024-04-08	88636J444 (US88636J4444)	New	100.0 %	0.6841	■■■■■■■■■■ · fully refunded

Note: Per-share ROC and refund amounts are read-only ledger readings. The Jan/Feb non-refund for the three holders (■■■■■■■■■■) matches on the same CUSIP and same payment date.

3. Issuer Evidence (Official U.S. Original-Issuer Materials)

Ref.	Evidence / Source	What it proves	File
A-1	Form 8937 (FY2023) — YieldMax TSLA Option Income Strategy ETF	CUSIP 88634T709 (old). “A portion of each distribution constitutes a non-taxable return of capital ... will decrease a U.S. taxpayer's basis.” U.S. residents also receive ROC on the same distribution.	01_IssuerEvidence/ A1_Form 8937_FY2023_TSLY_88634T709.pdf

Ref.	Evidence / Source	What it proves	File
A-3 (KEY)	Form 8937 (FY2024) — YieldMax 2024, 30 Funds	CUSIP 88636J444 (new), p.74 TSLY. All 11 distributions in 2024 Total = Nondividend, ROC 100.0000% (Jan 0.5565, Feb 0.4046 ...). All distributions including Jan/Feb are literally confirmed as 100% ROC (IRS filing).	01_IssuerEvidence/ A3_Form 8937_FY2024_30Funds_TSLY_88636J444.pdf
A-2	SEC EDGAR N-CSRS — Tidal Trust II (TSLY's management company) FY2024	The semi-annual financial statements contain the line "Tax character of distributions / From return of capital" → ROC exists on the financial statements.	01_IssuerEvidence/ A2_NCSR S_FY2024_TidalTrustII.htm
B-1 (KEY)	YieldMax 2024 ICI Primary Layout (issuer's official year-end allocation data / IRS standard form)	TSLY (CUSIP 88636J444, Ticker TSLY), flag R (Reclass = finalized). The full Jan Total 0.5565 and Feb 0.4046 are Nondividend Distributions (Box 3 = return of capital) = 100% ROC. The issuer uses the new CUSIP 88636J444 from the January distribution onward and explicitly notes the code change in a separate " CUSIP Number Change " column → the issuer's own document proves the broker failed to bridge the old CUSIP (88634T709) to the new CUSIP, so the Jan/Feb reclassification was omitted.	01_IssuerEvidence/ B1_Yield Max_2024_ICI_Primary_Lay out_FINAL.pdf (+ .xlsx)

4. U.S. Legal Basis

IRC §301(c)(2) — Return of Capital The portion of a distribution received by a shareholder that exceeds E&P (earnings and profits) is not a dividend but a return of capital, and reduces the stock's acquisition basis. TSLY's 100% ROC distribution is precisely the return of capital under this provision.

IRC §316(a) — Definition of a Dividend A "dividend" is limited to a distribution paid out of E&P. ROC, which does not come out of E&P, is not a dividend under §316 → it is not subject to dividend withholding.

IRC §6045B / Form 8937 — Issuer Reporting Obligation Compels the issuer to report to the IRS (Form 8937) corporate actions that affect acquisition basis (including ROC). The A-1 and A-3 Forms 8937 are that statutory filing, and are the highest-level authority finalizing income character.

Form 1099-DIV Box 3 — Nondividend Distributions To U.S. residents, ROC is reported in Box 3 (nondividend distribution) → a non-taxable return of capital distinct from a dividend (Box 1).

Form 1042-S Income Code 37 — Return of Capital For non-resident aliens (NRA), ROC is distinguished by its dedicated income code 37 (exemption code 21, non-withholding). ROC is not to be collected at source at dividend rates.

Treas. Reg. §1.1461-2 — Adjustment of Over-withholding Withholding over-collected on ROC is adjusted by refund/offset (withholding-agent refund, or subsequent 1040-NR / QI block refund). An un-refunded state is an over-collection that must be adjusted.

Korea-U.S. Tax Treaty Article 12 (Dividends) The treaty does not define "dividend" and has no concept of ROC → income character follows each country's domestic law. Under U.S. domestic law (§301/§316), ROC is not a dividend.

5. Income-Character Determination (Elimination of 3 Scenarios)

Scenario	Content	Verdict	Basis
A	ROC (non-taxable return of capital) in both the U.S. and Korea	Confirmed	A-1, A-3 Form 8937 (§301/§316); A-2 N-CSR; B-1 ICI 100% Box 3

Scenario	Content	Verdict	Basis
B	Taxed as a dividend in both (not ROC)	Excluded	8937 explicitly states §301(c)(2) ROC at 100%
C	Withholding = dividend character, so refund is also on a dividend basis	Excluded	ROC is NRA non-taxable (1042-S code 37); structurally a return of capital

6. Conclusion

The TSLY Jan/Feb 2024 distributions were confirmed by IRS filing as 100% ROC via the issuer’s Form 8937 (FY2024, new CUSIP 88636J444) and ICI, and under U.S. tax law (§301(c)(2), §316) they are not dividends. That the new-CUSIP distributions from March onward — identical 100% ROC — were fully refunded while only the Jan/Feb old-CUSIP distributions had a 0 refund is not a difference in income character, but a system error in which the Korean-side settlement (reclassification/refund) was omitted at the CUSIP-change boundary.

In particular, the issuer’s ICI Primary Layout applies the new CUSIP 88636J444 from the January distribution onward and itself explicitly notes the code change in a separate “CUSIP Number Change” column — that is, the bridging information between the old and new codes was provided by the issuer, but the Korean securities company / depository settlement failed to reflect it. Therefore, the U.S. issuer and U.S. law are clear, and the non-refund resolves to a code-mismatch omission at the Korean broker/depository settlement stage. Recovery is possible via a (Korean) correction claim (경정청구) and (U.S.) withholding-tax refund / QI block refund.

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